

EXAM-READY STUDY GUIDE

INTRODUCTION TO ACCOUNTING

Concepts · Transactions · Accounting Equation ·
Double Entry System · Journal Entries — with
every practice problem fully solved

Chapter 1 · Foundations

Chapter 2 · Transactions & Equation

Chapter 3 · Double Entry

Chapter 4 · Journal Entries

COMPILED STUDY NOTES · SOLVED PRACTICE INCLUDED

Table of Contents

Chapter 1 — Introduction to Accounting	03
Chapter 2 — Transactions & the Accounting Equation	05
↳ Solved Practice: Identifying Transactions (Q1-Q4)	06
Chapter 3 — Double Entry System	09
↳ Solved Practice: Debit/Credit Identification	09
Chapter 4 — Journal Entries	11
↳ Solved Examples 1-4 (Full Journals)	12
Final Revision Sheet — Golden Rules & Formulas	16

Introduction to Accounting

1.1 Concept of Accounting

Accounting is called the "**language of business.**" It is the knowledge that helps us record, classify, and summarize financial transactions to determine the overall financial condition of a person or institution.

"Accounting is an information system that identifies, records, and communicates the economic events of an organization to interested users." — **Weygandt, Kieso & Kimmel**

In short, accounting is the systematic process of **recording, summarizing, analyzing, and reporting** financial transactions. It tracks a company's economic health — ensuring profitability, legal compliance, and informed decision-making — and maintains transparency with external parties such as investors and government agencies.

1.2 Objectives & Necessity of Accounting

- Maintain a **permanent record** of business transactions.
- Ascertain the **net profit or loss** of the enterprise for the accounting period.
- Determine the **value of assets and liabilities** of the enterprise.
- Disclose the **financial position** of the enterprise on the Balance Sheet date.

1.3 Origin & Evolution of Accounting

The origin of accounting dates back to the **15th century**. Italian monk **Luca Pacioli** is regarded as the "**Father of Accounting**" for developing the structure of modern accounting.

KEY FACT

Pacioli invented the **double-entry accounting system** and in **1494** published *Summa de Arithmetica, Geometria, Proportioni et Proportionalita*, describing it. The double-entry system introduced the equation: **Assets = Liabilities + Shareholders' Equity**.

This creation helped companies track transactions more efficiently and analyze financial health with greater accuracy. Originally, such information was kept strictly internal and not shared with the public.

1.4 Users of Accounting Information

Internal Users	External Users
Management	Creditors
Owners	Tax Authority
	Investors
	Government
	Customers
	Regulatory Authorities

1.5 Classification of Accounting

Financial Accounting — Recording, summarizing and reporting transactions over a period to produce financial statements: Income Statement, Balance Sheet, Statement of Changes in Equity, Cash Flow Statement.

Cost Accounting — Recording, summarizing, analyzing and allocating cost incurred in manufacturing a product or providing a service, helping management determine cost.

Management (Managerial) Accounting — Uses financial accounting information to help managers make and implement business policies for better results.

1.6 Functions of Accounting

- 1 Recording** — Recording financial transactions in an orderly manner soon after they occur, in the proper books of accounts.

- 2 **Classifying** — Systematic analysis of recorded data to accumulate similar transactions in one place (done by maintaining the ledger).
- 3 **Summarizing** — Preparing and presenting classified data in a useful manner — i.e. preparing financial statements (Income Statement, Balance Sheet, Statement of Changes in Financial Position, Cash Flow Statement).
- 4 **Interpreting** — Explaining not only *what* happened but *why* it happened and *what is likely to happen* under specified conditions.

1.7 Scope of Accounting (Where Accounting Is Used)

Business Organizations Personal Life Non-Trading Concerns Government Offices Professionals

- **Business organizations** — records kept to ascertain operating results and financial position (since the prime objective of business is profit).
- **Personal life** — recording an individual's receipts, payments, assets and liabilities.
- **Non-trading concerns** — schools, madrasas, colleges, hospitals, mosques, temples, churches, clubs, associations, etc.
- **Government offices** — accounts kept in govt. offices, courts and state-owned organizations to determine income, expenditure and administration.
- **Professionals** — doctors, engineers, advocates, actors etc. maintain accounts of their income and expenditure.

1.8 Basis of Accounting

Basis	Description
Cash Basis	Transactions recorded only when cash is received/paid; credit transactions are not recorded. Not in accordance with GAAP. Used by individuals & some small companies; BD Govt. primarily uses this for budgeting.
Accrual Basis	Revenue and costs recorded when they become due , regardless of when cash is received or paid. Revenues recorded when earned ; expenses recorded when incurred . Used by most companies, including Public Limited Companies.
Hybrid Basis	A mix — revenues recorded on a cash basis while costs are recorded on an accrual basis. Used by various small & medium enterprises.

1.9 Accounting Assumptions & Principles

Assumption / Principle	Meaning
Monetary Unit	Only transaction data expressible in money (e.g., Taka) is recorded — enabling economic events to be measured.
Going Concern	Also called the Continuity assumption — the business will continue operating indefinitely, long enough to carry out its plans and contracts.
Economic Entity	The business is a separate unit from its owner(s); the owner is treated as a creditor to the extent of their capital.
Full Disclosure	All information relevant to users' decisions must be presented.
Accounting Period	A business's unlimited life is divided into small time chunks (month/quarter/year) for reporting to outsiders.
Revenue Recognition	The rules governing when revenue is recorded in the accounts and reported in the income statement.
Matching Principle	Revenues and the expenses incurred to earn them must be matched to the same period. Unexpired costs are treated as assets, not expenses.

Transactions & the Accounting Equation

2.1 What is a Transaction?

Many events occur in a business, but not all can be recorded in the books of account. Only events that are **measurable in terms of money** and that **bring a change in financial position** are treated as transactions.

*Literally, "transaction" means to **give and receive** (give and take). In every transaction, one party receives a benefit while the other provides it.*

Example: Mr. Simanto bought an almirah for Tk. 5,000 and later got injured coming from the shop. Only the purchase (financial change) is a transaction — the injury is not, since it has no financial measurability.

Transactions are not limited to buying/selling — services exchanged (e.g., salary paid, rent received), and even invisible events like **depreciation**, also count as transactions.

2.2 Features of a Transaction

#	Feature	Explanation
1	Measurable in money	Must be expressible in monetary terms. (Manager's death = loss, but not measurable in money; goods destroyed by fire worth Tk.20,000 = a transaction.)
2	Changes financial condition	Any event bringing financial change to the firm is a transaction.
3	Dual entity	Every transaction involves two parties — one receives a benefit, the other provides it.
4	Impacts the accounting equation	Each transaction affects Assets = Liabilities + Owner's Equity.
5	Historical event	Can relate to the past or to a reasonably certain future event (e.g., reserve for bad debts).
6	Complete & independent	Each transaction is separate from others, even if related in sequence.

2.3 The Accounting Equation

$$\text{ASSETS} = \text{LIABILITIES} + \text{OWNER'S EQUITY}$$

Asset — economic resources owned by the business, invested to earn profit (e.g., furniture, buildings, machinery).

Liability — a financial obligation payable after a period of time; the third party's claim on total assets.

Owner's Equity — the owner's claim on total assets after deducting liabilities. Affected by four elements: **Investment, Income, Drawings, Expense.**

Extended Accounting Equation

$$A = L + (C + R - E - D)$$

A = Assets | L = Liabilities | C = Capital | R = Revenue | E = Expenses | D = Drawings

2.4 Worked Reference Example — Mr. Dipok (January 2026)

Mr. Dipok started a legal practice on 1 Jan 2026: invested Tk.50,000; paid rent Tk.3,000; bought machine on credit Tk.15,000; earned service revenue (cash) Tk.6,000; paid salary Tk.2,000; took bank loan Tk.20,000; earned service revenue (credit) Tk.7,000; paid machine dues Tk.10,000.

Date	Cash	Debtors	Machinery	=	Loan	Creditors	Capital
Jan 1	50,000	-	-	=	-	-	50,000
Jan 2	-3,000	-	-	=	-	-	-3,000
Jan 7	-	-	15,000	=	-	15,000	-
Jan 10	6,000	-	-	=	-	-	6,000
Jan 15	-2,000	-	-	=	-	-	-2,000
Jan 20	20,000	-	-	=	20,000	-	-

Jan 24	-	7,000	-	=	-	-	7,000
Jan 29	-10,000	-	-	=	-	-10,000	-
Balance	61,000	7,000	15,000	=	20,000	5,000	58,000

Total Assets = 83,000 = Total Liabilities + Capital = 83,000 ✓

2.5 Solved Practice Problems — Identifying Transactions

Modelling rule used throughout: Purchase and Sale of *goods* are treated as nominal (Expense/Revenue) items exactly as they are later closed to the Income Statement in Chapter 4 — i.e. **Purchase behaves like an expense** (reduces Capital) and **Sale behaves like revenue** (increases Capital). Purchase of a *fixed asset* (machine, furniture, sewing machine, etc.) simply exchanges one asset for another / creates a liability, and does not affect Capital. An event with no cash flow and no measurable financial effect on the business (e.g. placing an order, appointing staff, a purely personal matter) is **not a transaction**.

QUESTION 1

Nargis Akter started a tailoring business on 1 March 2026 with the transactions listed on the slide (investment Tk.20,000; rent Tk.5,000; sewing machine Tk.15,000; stitching wages Tk.2,000; publicity Tk.1,000; receivable Tk.1,500; machine repair Tk.3,000; bill of 22 March realised Tk.1,200).

✓ SOLUTION

Date	Cash	Debtors	Machine	=	Capital	Remarks
Mar 1	+20,000	-	-	=	+20,000	Capital invested
Balance	20,000	0	0	=	20,000	
Mar 3	-5,000	-	-	=	-5,000	Rent (expense)
Balance	15,000	0	0	=	15,000	
Mar 9	-15,000	-	+15,000	=	-	Asset exchange (cash → machine)
Balance	0	0	15,000	=	15,000	
Mar 14	+2,000	-	-	=	+2,000	Stitching wages (revenue)
Balance	2,000	0	15,000	=	17,000	
Mar 17	-1,000	-	-	=	-1,000	Publicity (expense)
Balance	1,000	0	15,000	=	16,000	
Mar 22	-	+1,500	-	=	+1,500	Stitching income on credit (revenue)
Balance	1,000	1,500	15,000	=	17,500	
Mar 25	-3,000	-	-	=	-3,000	Machine repair (expense)
Balance	-2,000	1,500	15,000	=	14,500	Cash overdrawn
Mar 30	+1,200	-1,200	-	=	-	Partial recovery of receivable
Final Balance	-800	300	15,000	=	14,500	Capital

Check: Total Assets = -800 + 300 + 15,000 = **14,500** = Capital **14,500** ✓ (Note: cash shows a negative balance because expenses exceeded cash on hand at that date — in practice this means the business is short of cash / overdrawn.)

QUESTION 2

Mr. Ashish Kumar Chokroborti — December 2025 (started with Tk.20,000; bank deposit Tk.5,000; credit purchase Tk.5,000; cash sale Tk.15,000; personal bank loan Tk.10,000; furniture Tk.3,000).

✓ SOLUTION

(a) Non-transaction total: "Loan taken from Bank for own purpose" (Dec 10) is a personal matter of the owner, not routed through the business — it does **not** affect the business's financial position. **Total non-transaction amount = Tk. 10,000.**

(b) Reasoning:

Date	Status	Reason
Dec 1	Transaction	Cash brought in as capital — financial change & dual entity (Cash / Capital).
Dec 3	Transaction	Cash converted into a Bank balance — an asset-for-asset exchange.
Dec 5	Transaction	Credit purchase increases Creditors (liability) and is an expense to the business.
Dec 7	Transaction	Cash sale — revenue increases Cash and Capital.
Dec 10	Not a Transaction	Loan is for the owner's personal purpose — no effect on business cash/assets.

Dec 15 Transaction Cash converted into Furniture — asset-for-asset exchange.

(c) Effect on the Accounting Equation:

Date	Cash	Bank	Furniture	=	Creditors	Capital
Dec 1	+20,000	-	-	=	-	+20,000
Balance	20,000	0	0	=	0	20,000
Dec 3	-5,000	+5,000	-	=	-	-
Balance	15,000	5,000	0	=	0	20,000
Dec 5	-	-	-	=	+5,000	-5,000
Balance	15,000	5,000	0	=	5,000	15,000
Dec 7	+15,000	-	-	=	-	+15,000
Balance	30,000	5,000	0	=	5,000	30,000
Dec 10	— not a transaction, no effect —					
Dec 15	-3,000	-	+3,000	=	-	-
Final Balance	27,000	5,000	3,000	=	5,000	30,000

Check: Assets (27,000+5,000+3,000) = **35,000** = Liabilities + Capital (5,000+30,000) = **35,000** ✓

QUESTION 3

Mr. Shankar Chondro Saha — January 2026 (manager appointed Tk.5,000; credit sale Tk.20,000; stationery Tk.500; personal school fee paid; received Tk.5,000 from Sumona Traders; advertisement Tk.700).

✓ SOLUTION

(a) Non-transaction total: Two events are not transactions — (i) **Jan 2:** appointing a manager is only an agreement/appointment letter, no cash flow yet (Tk.5,000 is just his salary rate, not yet paid); (ii) **Jan 12:** the school fee is a purely personal payment by the owner with no stated amount and no business effect. Since only Jan 2 carries a stated figure, **Total non-transaction amount = Tk. 5,000.**

(b) & (c) Reasoning and Effect on the Accounting Equation:

Date	Status	Reason	Effect on Equation
Jan 2	Not a Transaction	Appointment of a manager brings no financial change; salary becomes due only once work is performed and payment falls due.	No effect
Jan 7	Transaction	Sale on credit is a revenue transaction — increases a debtor and increases capital.	Debtors +20,000 = Capital +20,000
Jan 10	Transaction	Cash purchase of stationery is a business expense.	Cash -500 = Capital -500
Jan 12	Not a Transaction	A personal expense paid by the owner personally (not from business funds) does not affect business accounts.	No effect
Jan 20	Transaction	Cash collected against the earlier credit sale — an asset is converted from Debtor to Cash.	Cash +5,000, Debtors -5,000
Jan 25	Transaction	Cash payment for advertisement is a business expense.	Cash -700 = Capital -700

Net effect: Debtors rise by 20,000 then fall by 5,000 (net 15,000 still receivable); Cash falls by 500 then rises by 5,000 then falls by 700 (net +3,800); Capital rises by 20,000 and falls by 500 and 700 (net +18,800).

QUESTION 4

Mr. Zakir started a legal practice on 1 May 2011 (invested Tk.1,50,000; rent Tk.12,000; machine on credit Tk.25,000; cash service revenue Tk.8,000; staff salary Tk.4,000; bank loan Tk.35,000; credit service revenue Tk.10,000; machine dues paid Tk.15,000).

✓ SOLUTION

Date	Cash	Machine	Debtors	=	Creditors	Bank Loan	Capital
May 1	+150,000	-	-	=	-	-	+150,000
Balance	150,000	0	0	=	0	0	150,000
May 4	-12,000	-	-	=	-	-	-12,000
Balance	138,000	0	0	=	0	0	138,000

May 8	-	+25,000	-	=	+25,000	-	-
Balance	138,000	25,000	0	=	25,000	0	138,000
May 12	+8,000	-	-	=	-	-	+8,000
Balance	146,000	25,000	0	=	25,000	0	146,000
May 16	-4,000	-	-	=	-	-	-4,000
Balance	142,000	25,000	0	=	25,000	0	142,000
May 25	+35,000	-	-	=	-	+35,000	-
Balance	177,000	25,000	0	=	25,000	35,000	142,000
May 27	-	-	+10,000	=	-	-	+10,000
Balance	177,000	25,000	10,000	=	25,000	35,000	152,000
May 30	-15,000	-	-	=	-15,000	-	-
Final Balance	162,000	25,000	10,000	=	10,000	35,000	152,000

(a) Unpaid amount of office machine = Tk. 25,000 – Tk.15,000 paid = Tk. 10,000 (i.e., the closing Creditors balance).

(b) Mr. Zakir's equity (Capital) at the end of the month = Tk. 152,000.

Check: Assets (162,000+25,000+10,000) = **197,000** = Liabilities + Capital (10,000+35,000+152,000) = **197,000** ✓

Double Entry System

3.1 Concept

The Double Entry System is globally recognized as a **dependable, scientific, and complete** system of keeping accounts. Every transaction that is measured/measurable in money is expressed with **dual entity** — there is no alternative method to know the true result and financial condition of a business.

EXAMPLE

Salary paid to office staff Tk.5,000. Two accounts are involved: (a) Salary Account, (b) Cash Account. Salary is an **expense** → increases → **debited**. Cash is an **asset that goes out** → decreases → **credited**. The same amount (Tk.5,000) is used on both sides — this is the basic principle of Double Entry.

3.2 Procedure for Identifying Debit & Credit

The main elements of the accounting equation are Asset, Liability, and Owner's Equity. Income increases equity; Expense decreases it. This gives **five types of accounts**:

Account Type	Increase	Decrease
1. Asset	Debit	Credit
2. Liability	Credit	Debit
3. Owner's Equity / Capital	Credit	Debit
4. Income / Revenue	Credit	Debit
5. Expense	Debit	Credit

3.3 Solved Practice — Effects of Double Entry (Mr. Hasan's Transactions)

Twelve transactions of Mr. Hasan's business are analysed below to identify the Debit and Credit account for each. (Where no name/credit is mentioned, a cash transaction is assumed.)

#	Transaction	Account Debited	Account Credited
1	Started business bringing in Tk.50,000 as Capital	Cash A/c — Tk.50,000	Capital A/c — Tk.50,000
2	Furniture bought for business Tk.5,000	Furniture A/c — Tk.5,000	Cash A/c — Tk.5,000
3	Employees' salary paid off Tk.6,000	Salary A/c — Tk.6,000	Cash A/c — Tk.6,000
4	Goods purchase Tk.20,000	Purchase A/c — Tk.20,000	Cash A/c — Tk.20,000
5	Tk.25,000 deposited into Bank	Bank A/c — Tk.25,000	Cash A/c — Tk.25,000
6	Goods sold Tk.18,000	Cash A/c — Tk.18,000	Sales A/c — Tk.18,000
7	Cheque paid for advertisement Tk.7,000	Advertisement A/c — Tk.7,000	Bank A/c — Tk.7,000
8	Commission received Tk.3,000	Cash A/c — Tk.3,000	Commission Received A/c — Tk.3,000
9	Interest received from bank Tk.1,200	Bank A/c — Tk.1,200	Interest Received A/c — Tk.1,200
10	Goods sold on credit Tk.15,000	Debtors A/c — Tk.15,000	Sales A/c — Tk.15,000
11	Cheque paid for rent Tk.6,000	Rent A/c — Tk.6,000	Bank A/c — Tk.6,000
12	Tk.8,000 withdrawn from bank for business	Cash A/c — Tk.8,000	Bank A/c — Tk.8,000
Total		Tk. 1,64,200	Tk. 1,64,200

3.4 Solved Practice — M/S. Joya & Co.

#	Transaction	Account Debited	Account Credited
1	Mrs. Joya Mukharjee made additional investment Tk.20,000	Cash A/c — Tk.20,000	Capital A/c — Tk.20,000
2	Computer purchase for office Tk.25,000	Office Equipment A/c — Tk.25,000	Cash A/c — Tk.25,000
3	Office rent paid in advance for 3 months Tk.18,000	Prepaid Rent A/c — Tk.18,000	Cash A/c — Tk.18,000

4	Sold to Rajon Tk.25,000	Debtors (Rajon) A/c — Tk.25,000	Sales A/c — Tk.25,000
5	Bank charged Tk.1,500	Bank Charges A/c — Tk.1,500	Bank A/c — Tk.1,500
6	Withdrawn from bank Tk.6,000 (for business)	Cash A/c — Tk.6,000	Bank A/c — Tk.6,000
7	Goods purchased on credit Tk.15,000	Purchase A/c — Tk.15,000	Creditors A/c — Tk.15,000
8	Wages paid Tk.3,000	Wages A/c — Tk.3,000	Cash A/c — Tk.3,000
9	Purchase return Tk.2,000	Creditors A/c — Tk.2,000	Purchase Return A/c — Tk.2,000
10	Deposited into bank Tk.10,000	Bank A/c — Tk.10,000	Cash A/c — Tk.10,000
Total		Tk. 1,25,500	Tk. 1,25,500

3.5 Accounts Kept Under the Double Entry System

Journal — After a transaction occurs, debit and credit are identified and recorded chronologically in this book. It is the **primary book of account**.

Ledger — The book where all journal transactions are transferred individually into related accounts under appropriate titles. It is the **original / principal book**.

3.6 The Accounting Cycle

Since a business is assumed to continue forever (Going Concern), keeping accounts is a continuous cycle:

- 1 Identifying Transactions** — analysing each event to see if it qualifies as a transaction.
- 2 Analyzing Transactions** — identifying the two accounts affected.
- 3 Journalizing** — recording as Debit & Credit chronologically in the Journal.
- 4 Transfer to Ledger** — posting journal entries to individual ledger accounts.
- 5 Preparing Trial Balance** — testing accuracy using ledger debit/credit balances.
- 6 Adjusting Entries** — adjusting accrued/prepaid expenses and unearned/receivable income.
- 7 Preparing Worksheet** — an optional multi-column statement to ease statement preparation.
- 8 Preparation of Financial Statements** — determining profit/loss, assets, liabilities and equity.
- 9 Closing Entries** — closing revenue, expense and drawings accounts at year-end.
- 10 Opening (Post-Closing) Entries** — carrying forward Asset, Liability & Equity balances to the new period.

Journal Entries in Accounting

4.1 What is a Journal?

After identifying financial events, transactions must be recorded in the books identifying the Debit and Credit parties. The transaction is first recorded **chronologically with explanation** in the **journal** — the **primary book of accounts** — before being posted to the Ledger. Keeping a journal is not compulsory, but it greatly reduces the chance of errors and omissions.

Importance of Journal

- Records every transaction before it is transferred to the ledger.
- Shows the total number & quantity of transactions in a period.
- Confirms the application of **dual entity** (Debit & Credit together).
- Provides explanation/narration for each transaction.
- Reduces errors and omissions in the ledger.
- Serves as a **future reference / evidence**.
- Acts as a helping aid to the principal book (Ledger).

Specimen of General Journal

Date	Particulars / Account Titles & Explanation	L.F.	Debit Tk.	Credit Tk.
	Account Debited Dr. To Account Credited (Narration explaining the transaction)		***	***

4.2 Classification of Journal

A. Special Journal

Journal	Records
Purchase Journal	All credit purchases of goods.
Sales Journal	All credit sales of goods.
Purchase Return Journal	Goods purchased on credit but returned.
Sales Return Journal	Goods sold on credit but returned.
Cash Receipt Journal	All cash receipts (incl. cash sales).
Cash Payment Journal	All cash payments (incl. cash purchases).

B. Journal Proper

Journal	Purpose
Rectifying Journal	Corrects errors made in recording earlier transactions.
Adjusting Journal	Records unrecorded/unadjusted items: accrued & advance expense, unearned & receivable income, depreciation, reserves, etc.
Closing Journal	Closes revenue, expense and drawings accounts at year-end.
Opening Journal	Brings forward asset, liability & equity balances into the new period.

4.3 Golden Rules — Factors to Consider for General Journal

#	Rule
a	Never open an account under the name "goods", "materials", "cheque", etc. — use Purchase, Sales, Cash , or Bank instead.
b	If a buyer's/seller's name is mentioned for a purchase/sale, treat it as a credit transaction — unless words like cash/cheque/bank are attached, which override it back to cash.
c	If goods are bought/sold "on credit" but no name is given, use the generic Creditors A/c (purchase) or Debtors A/c (sale).
d	For purchase/sales returns , assume the original purchase/sale was on credit — so returns affect Creditors (purchase return) or Debtors (sales return).
e	For buying/selling fixed assets , never use words like "new", "old", "purchase", "sale" in the account title — just use the asset's own

	name (e.g., Furniture A/c, Machinery A/c).
f	No account is opened under an individual's/institution's name for income & expense generally — use Salary A/c, Stationery A/c , etc., not the person's name.
g	When goods decrease due to personal/business use, free distribution (advertisement), theft, or destruction — always credit the Purchase A/c .
h	"Withdrawn from Business " = Owner's Drawings . "Withdrawn from Bank " = for business use (Cash A/c), unless specifically stated to be for the owner.
i	Goods/cash/assets stolen or destroyed are recorded through a Sundry Loss A/c .
j	Bank interest allowed/charged and bank charges always affect the Bank A/c .
k	Depreciation is credited to an " Accumulated Depreciation - (Asset) " A/c , not to the asset account directly.
l	A cheque received is debited to the Bank A/c directly (an "Account Payee" cheque is never held as cash).
m	Any service given by/to the owner personally affects the Capital A/c (credit) or Drawings A/c (debit).
n	Discount allowed/received on settling a debtor/creditor is adjusted directly against the Debtors/Creditors A/c .

4.4 Solved Examples

EXAMPLE 1 — Mr. Nila Chowdhury (March 2025)

Prepare the Journal for the month's transactions.

✓ SOLUTION

Date	Particulars	Debit Tk.	Credit Tk.
Mar 1	Purchase A/c Dr. To Cash A/c	9,000	9,000
	(Goods purchased for cash)		
Mar 2	Furniture A/c Dr. To Cash A/c	12,000	12,000
	(Furniture purchased for cash)		
Mar 3	Cash A/c Dr. To Sales A/c	15,000	15,000
	(Goods sold to Bahar for cash — "for cash" overrides the name rule)		
Mar 7	Bank A/c Dr. To Cash A/c	8,000	8,000
	(Cash deposited into bank)		
Mar 9	Purchase A/c Dr. To Creditors A/c	5,000	5,000
	(Goods purchased on credit)		
Mar 12	Drawings A/c Dr. To Cash A/c	2,000	2,000
	(Cash withdrawn by owner for personal use)		
Mar 15	Cash A/c Dr. To Sales A/c	14,000	14,000
	(Goods sold for cash)		
Mar 18	Stationery A/c Dr. To Cash A/c	1,000	1,000
	(Stationery purchased for cash)		
Mar 30	Salary A/c Dr. To Cash A/c	7,000	7,000
	(Salaries paid to employees)		
Total		73,000	73,000

EXAMPLE 2 — Mr. Showkat (July 2025) (worked solution, as given)

Date	Particulars	Debit Tk.	Credit Tk.
Jul 1	Cash A/c Dr. Purchase A/c Dr. To Capital A/c	50,000 20,000	70,000
<i>(For cash and goods brought in as capital)</i>			
Jul 2	Bank A/c Dr. To Cash A/c	20,000	20,000
<i>(Opened a bank account by depositing cash)</i>			
Jul 7	Office Equipment A/c Dr. To Cash A/c	22,000	22,000
<i>(Purchased computer for cash)</i>			
Jul 9	Bank A/c Dr. To Sales A/c	10,000	10,000
<i>(Sold goods to Rumi by cheque)</i>			
Jul 10	Purchase A/c Dr. To Creditors (Babul) A/c	15,000	15,000
<i>(Goods purchased on credit)</i>			
Jul 12	Prepaid Rent A/c Dr. To Cash A/c	4,000	4,000
<i>(Office rent paid in advance)</i>			
Jul 15	Creditors (Babul) A/c Dr. To Purchase Return A/c	1,000	1,000
<i>(Goods returned to Babul)</i>			
Jul 20	Advertisement A/c Dr. To Cash A/c	3,000	3,000
<i>(Expense made for advertisement)</i>			
Jul 23	Creditors (Babul) A/c Dr. To Bank A/c	5,000	5,000
<i>(Issued cheque to Babul)</i>			
Jul 25	Drawings A/c Dr. To Cash A/c	2,000	2,000
<i>(Personal expenses paid from business)</i>			
Jul 30	Salary A/c Dr. To Accrued Salary A/c	3,500	3,500
<i>(Salary of Raihan is unpaid)</i>			
Total		1,55,500	1,55,500

EXAMPLE 3 — Mr. Pijush Kumar (March 2025) (worked solution, as given)

Date	Particulars	Debit Tk.	Credit Tk.
Mar 1	Cash A/c Dr. To Capital A/c	5,00,000	5,00,000
<i>(Cash brought in as capital)</i>			
Mar 2	Prepaid Rent A/c Dr. To Cash A/c	90,000	90,000
<i>(Office rent paid in advance)</i>			
Mar 4	Advertisement A/c Dr. To Cash A/c	15,000	15,000
<i>(Advertisement expense paid)</i>			
Mar 6	Furniture A/c Dr. To Cash A/c	30,000	30,000

(Furniture purchased for cash)

Mar 7	Stage & Decoration Expense A/c Dr. To Cash A/c	50,000	50,000
-------	---	--------	--------

(Cost of making & decorating stage paid)

Mar 12	Entertainment Expense A/c Dr. To Cash A/c	2,000	2,000
--------	--	-------	-------

(Entertainment expense for artist & technician)

Mar 15	Cash A/c Dr. To Service Revenue A/c	80,000	80,000
--------	--	--------	--------

(Sale of tickets for showing drama)

Mar 18	Honorarium Expense A/c Dr. To Cash A/c	25,000	25,000
--------	---	--------	--------

(Honorarium paid to artist)

Mar 25	Electricity Expense A/c Dr. To Electricity Expense Due A/c	3,000	3,000
--------	---	-------	-------

(Electricity bill unpaid)

Mar 28	Salaries Expense A/c Dr. To Cash A/c	12,000	12,000
--------	---	--------	--------

(Salaries paid to theatre employees)

Total		8,07,000	8,07,000
--------------	--	-----------------	-----------------

EXAMPLE 4 — Shachin Kormoker (April 2011)

Record the transactions in the General Journal.

Note on Apr 1: The source material states "Received a cheque from debtor and deposited it in the Bank" but does not give an amount for this line, so it cannot be numerically journalized. By Rule (I), the entry pattern would be: **Bank A/c Dr. / To Debtors A/c** (for the amount received).

✓ SOLUTION

Date	Particulars	Debit Tk.	Credit Tk.
Apr 3	Cash A/c Dr. To Loan from Maruf A/c	20,000	20,000
(Loan taken from Maruf)			
Apr 5	Creditors A/c Dr. To Purchase Return A/c	500	500
(Goods purchased earlier now returned)			
Apr 8	Cash A/c Dr. To Furniture A/c	2,000	2,000
(Furniture sold for cash — no "old"/"sale" wording used)			
Apr 10	Bad Debts A/c Dr. To Debtors A/c	1,000	1,000
(Bad debts written off)			
Apr 12	Notes Payable A/c Dr. To Bank A/c	3,000	3,000
(Notes payable paid by bank)			
Apr 15	Furniture A/c Dr. To Cash A/c	7,000	7,000
(Chair and table purchased for cash)			
Apr 18	Cash A/c Dr. To Interest on Investment A/c	1,000	1,000
(Interest on investment received)			
Apr 20	Commission Receivable A/c Dr. To Commission Income A/c	600	600

(Commission accrued but not yet received)

Apr 22	Cash A/c Dr. To Bank A/c	4,000	4,000
--------	-----------------------------------	-------	-------

(Withdrawn from bank for business use)

Apr 25	Creditors A/c Dr. To Bank A/c To Discount Received A/c	7,000	6,500 500
--------	--	-------	--------------

(Paid creditor by cheque and received discount)

Apr 30	Depreciation A/c Dr. To Accumulated Depreciation (Furniture) A/c	800	800
--------	---	-----	-----

(Depreciation charged on furniture)

Total (excl. Apr 1, amount not given)		46,900	46,900
--	--	---------------	---------------

Final Revision Sheet — Golden Rules & Formulas

Core Formulas

$$\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$$

$$A = L + (\text{Capital} + \text{Revenue} - \text{Expenses} - \text{Drawings})$$

Debit / Credit Cheat Sheet

Account Type	Debit means	Credit means
Asset	Increase	Decrease
Liability	Decrease	Increase
Capital / Equity	Decrease	Increase
Revenue / Income	Decrease	Increase
Expense	Increase	Decrease

Key Definitions At a Glance

- **Transaction** — a measurable-in-money event that changes financial position & involves dual entity.
- **Journal** — primary book of accounts, chronological record of debit/credit with narration.
- **Ledger** — principal book; transactions grouped account-wise.
- **Trial Balance** — a list testing that total debits = total credits.
- **Going Concern** — business assumed to continue indefinitely.
- **Matching Principle** — match expenses to the revenue they help earn, in the same period.

Exam Tips

REMEMBER

- Never name an account "Goods" — use **Purchase** or **Sales**.
- A name + "on credit" / no cash-word ⇒ **Creditors/Debtors**. A name + "cash/cheque/bank" ⇒ still cash/bank.
- Fixed asset purchase/sale never carries "new/old/purchase/sale" in the account title.
- "Withdrawn from Business" = Drawings; "Withdrawn from Bank" = for business (unless stated otherwise).
- Depreciation is credited to **Accumulated Depreciation**, never straight to the asset account.
- Always total both Debit and Credit columns — they **must** match before moving on.